

The complaint

Ms K is unhappy that AXA Insurance UK Plc (AXA) recorded a second claim and charged her a second excess for an escape of water which she thinks was caused by an inadequate repair.

The buildings insurance was held by the freeholder of an apartment building. As the leaseholder of one of the properties, and beneficiary of the insurance cover, Ms K is an eligible complainant, so I'll refer only to her throughout my decision. Any reference to actions by AXA includes those of its agents.

What happened

Briefly, Ms K returned from a week away to find water had escaped from the storage tank and damaged her home. AXA accepted her claim and covered the cost of repairing the damage. She made a separate claim for her carpet under her contents insurance policy.

Over a year later, the same thing happened. Ms K thought it was because AXA hadn't completed an effective repair the first time, but AXA said it was a different cause.

AXA agreed to cover the cost of repairing the damage again, but said it would be dealt with as a second claim, attract a second excess, and she would need to claim again for her carpet. Ms K didn't agree that it was a second claim.

Our investigator initially upheld Ms K's complaint but, on further consideration, she thought that AXA had provided enough evidence to show that the second escape of water had a different cause. Our investigator thought AXA had made a fair settlement offer for the damage, and its offer of £250 compensation was reasonable in the circumstances. But she thought it was fair that AXA recorded a second claim.

Ms K didn't agree, in part because she thought AXA was using technical plumbing terms to hide the fact that it hadn't completed an effective repair.

I issued a provisional decision in September 2021 explaining that I was intending to uphold Ms K's complaint. Here's what I said:

provisional findings

The overriding issue in dispute is whether the cause of the escape of water was the same for both claims and whether it should be considered as one claim or two. There's no dispute that the damage was covered under the policy.

Original claim

AXA identified a faulty ball valve and overflow from the water tank. Simply, there was too much water going into the tank and it wasn't overflowing properly. It seems that when Ms K was at home, her general use of the facilities meant the water didn't have the chance to build up to overflowing point. But, when she went away for a week, the tank overflowed and caused the damage. AXA fixed the fault and confirmed in an email to Ms K that she could go ahead and arrange for redecoration. AXA made it clear to her that no further

repair was needed and reassured her that the same thing wouldn't happen again if she went away.

At this point, I'm satisfied that Ms K reasonably understood the claim was settled and the damage had been fully repaired.

Second escape of water

The same type of damage happened again when Ms K was away from home for just over a week. While AXA says it was a new fault and, therefore, a new claim, I don't agree for the following reasons:

- The description of the first repair in AXA's 2019 report doesn't rule out the possibility that it was also the cause of the second escape of water.*
- AXA's 2019 report confirms the first repair was to the ball valve and overflow pipe – its 2020 report confirms the second claim was caused by a fault with the ball valve and overflow pipe.*
- The second incident happened the next time the ball valve and overflow pipe were needed to serve their purpose – so that was the first time the effectiveness of the repair was tested.*
- Although the incidents were 16 months apart, Ms K didn't leave her home for any length of time which would've allowed the water to build up in the tank. Therefore, the gap between events can't reasonably be considered evidence of an effective and lasting repair.*

So, I think AXA should treat Ms K's claim as an extension of the first claim because, on balance, it's more likely than not that the damage resulted from an ineffective repair.

Before I move on, I think it's worth pointing out that the policy includes cover for Trace and Access, as follows:

27) Trace and Access

Where the buildings have suffered damage or in the opinion of a competent professional there is a reasonable possibility of damage resulting from the escape of gas oil water or sewage into the premises the Insurer(s) will pay

i) the costs necessarily and reasonably incurred in

a) locating the source whether on the premises or not

b) repairing and making good any damage including that caused in locating the source of the escape of gas oil water or sewage

I agree that AXA wasn't responsible for completing a lasting repair under the terms of the policy, and Ms K is also aware of that. But, AXA told her it had fixed the cause of the escape of water and she could go ahead with redecorating. That was even after she specifically checked whether she needed to arrange for a lasting repair, and asked for reassurance that the same thing wouldn't happen again if she went away for a week. So, while it wasn't responsible for carrying out a lasting repair, in confirming that it had done so, AXA became responsible for it. Therefore, I think it's also responsible for making good the damage caused by the second escape of water.

Putting matters right

I'm satisfied that AXA covered the cost of repairing the damage for the first incident, apart from the carpet which Ms K claimed under her contents insurance. To put matters right, I'd need to be sure that Ms K hasn't incurred any unnecessary costs as a result of the second escape of water.

AXA agreed to settle a second claim for the damage and deducted the policy excess of £1,500. There are two unnecessary losses here – the policy excess and the record of a second claim. My provisional decision in respect of these losses is that AXA should refund to Ms K the policy excess of £1,500 and remove the record of a second claim because it can reasonably be considered an extension of the original claim.

Ms K's carpet was damaged in both incidents. The first time she claimed under her contents policy and she had a new carpet fitted. The new carpet was damaged during the second incident, which AXA said would be covered under her contents policy again. I have two issues with this:

- the new carpet wouldn't have been damaged if AXA had completed an effective and lasting repair, therefore the cost of the damage can be directly attributed to AXA, and*
- Ms K shouldn't be expected to incur the cost of a second excess under her contents policy or the impact a second claim might have on the assessment of risk for subsequent policies.*

To put this right, I think AXA should cover the cost of the second carpet.

Compensation

AXA offered Ms K £250 compensation for inconvenience and distress caused. Ms K hasn't asked for any more compensation as she simply wants the matter resolved. While I've provisionally decided that AXA is responsible for the second incident, I think it's done enough to acknowledge the additional inconvenience and upset caused. That's because, in addition to the offer of £250, it also agreed to cover the cost of a replacement water storage system which Ms K had installed to fix the problem. I think that's fair in the circumstances, so I won't be asking AXA to increase its offer.

Overall, I'm satisfied that it's more likely than not that the second escape of water was directly linked to the first, and well-known restrictions on leaving the home led to the 16-month gap before the ineffectiveness of the repair was identified. So, I think it's fair that AXA refunds the additional costs Ms K incurred for the new carpet and second policy excess, along with compensation of £250 for the inconvenience and upset she experienced.

I said I was intending to require AXA Insurance UK Plc to:

- refund to Ms K the policy excess of £1,500;*
- remove the record of a second claim because it can reasonably be considered an extension of the original claim;*
- reimburse Ms K the cost of the second carpet, and*
- pay compensation of £250 for the inconvenience and upset caused, as previously offered, if it hasn't already done so.*

I asked both parties to send me any further comments and information they might want me to consider before I reached a final decision.

AXA didn't respond.

Ms K accepted my provisional decision but confirmed that she hadn't yet received any payment from AXA.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

As Ms K accepted my provisional decision, and AXA made no further comment, I see no reason to change my provisional findings. So, my final decision is the same as my provisional decision and for the same reasons.

However, I will clarify that AXA should, if it hasn't already, reimburse Ms K for the work she's already done and for which AXA had already agreed to pay. That's because I took its offers into account, as I explained in my provisional decision, and my decision was based on the understanding that it would complete those offers in addition to the requirements I've made here.

My final decision

For the reasons I've explained above, and in my provisional decision, I uphold Ms K's complaint. AXA Insurance UK Plc must:

- refund to Ms K the policy excess of £1,500;
- remove the record of a second claim because it can reasonably be considered an extension of the original claim;
- reimburse Ms K the cost of the second carpet, and
- pay compensation of £250 for the inconvenience and upset caused, as previously offered, if it hasn't already done so.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms K to accept or reject my decision before 19 November 2021.

Debra Vaughan
Ombudsman